



SKILLFORGE AI

The QuickBooks Online AI Playbook

Clean accounts, fast invoices, bank feeds that behave — and an AI assistant doing the grunt work.

WHAT IT IS

The complete operating system for running a trades business on QuickBooks Online: setup, chart of accounts, job costing, invoicing, receipts, bank feeds and rules, payroll handoffs, reporting, month-end close, sync-error fixes, and AI-assisted workflows your assistant can actually run.

WHO IT'S FOR

HVAC, plumbing, electrical, contracting, and service-shop owners — and the office manager or bookkeeper who keeps their books — who want books they can trust in one hour a week, not a weekend a quarter.

WHAT YOU NEED

A QuickBooks Online subscription (any tier; verify current names and prices at intuit.com), the QBO mobile app, and any general AI chat assistant. No accounting degree required.

WHAT YOU'LL BUILD

Bank feeds that stay connected, a lean chart of accounts, invoices that get paid, job costs you can believe, a 90-minute month-end close, and eight copy-paste AI prompts that do the reading and drafting while you make the decisions.



What's inside

A note from Bill

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Read it in order the first time. After that, the checklists and the prompt quick-reference in Chapter 13 are the pages you'll live on.

How to use this playbook

Read it in order the first time. Every chapter ends with same-day action boxes and copy-paste prompts for your AI assistant. Bracketed text like [YOUR TRADE] is yours to fill in. Nothing here replaces your CPA — anywhere taxes or filings come up, the playbook says so plainly.

A note from Bill

I spent 32 years in the computer industry before I started writing these playbooks. I designed cloud solutions for Fortune 500 companies, and here's what I learned out there: the software is almost never the whole answer. The



answer is the workflow you wrap around it.

QuickBooks Online is good software. But every trades owner reading this knows its edges — the plan tier that gates the feature you actually need, the bank feed that breaks on a Friday afternoon, the shoebox of receipts riding around in the truck cab. This playbook doesn't fix QuickBooks Online. It fixes what you do around QuickBooks Online.

Every chapter ends with something you can use the same day: a prompt to copy and paste, a checklist to run, a habit to start. No theory. No homework that doesn't pay.

One caution before we start. AI reads numbers fast, but it doesn't know your tax position, your state's rules, or what's legal on a filing. Anywhere taxes or compliance come up, you'll see "CPA or attorney verifies this" notes. That's deliberate. Guard your books like the business depends on them — because it does.

Let's get to work.

— Bill

Chapter 1: Getting QuickBooks Online Connected and Set Up Right

Most bookkeeping pain is born in the first hour of setup. Wrong tax settings, a chart of accounts copied from a template that doesn't match your trade, bank feeds connected before the opening balances were right — every one of those mistakes bills you monthly for years. This chapter is the hour that prevents the years.

Picking the right plan — honestly

QuickBooks Online (QBO) comes in tiers — Simple Start, Essentials, Plus, and Advanced are the names Intuit has used for years. The tiers differ mainly in how many users you get, whether you can track inventory and job costs by project, and how much automation and reporting you can run. Intuit changes names, prices, and feature gates more often than any of us would like, so treat any price printed anywhere — including in this playbook — as a snapshot. Check the current lineup at intuit.com before you buy or upgrade.

Here's the honest rule of thumb for a trades business:

- **Solo operator, no employees, simple invoicing:** the entry tier usually does the job.
- **Crews, job costing, tracking profit by project:** you want the tier with Projects and class tracking. For most HVAC, plumbing, electrical, and general contracting shops, that's the tier where the real business lives.
- **Multiple locations or departments:** location tracking matters as much as projects. Confirm it's in your tier before you build your structure around it.

Don't buy up a tier for one feature you'll use twice. Do buy up when you're about to build job costing — retrofitting job history later is painful and sometimes impossible.

The first-hour setup checklist

Do these in order, in one sitting, before you connect a single bank feed:

1. **Company settings.** Settings (the gear icon) Account and settings. Legal business name, EIN, business address, fiscal year start, and your tax form (LLC, S-corp, sole proprietor). This drives your tax line mapping later. CPA verifies this screen with you once — it's cheap insurance.

2. **Sales settings.** Turn on progress invoicing if you bill in stages. Decide your invoice terms now (Net 15 is common in the trades; Net 30 for commercial accounts). Customize the invoice template with your logo, license number, and payment instructions.
3. **Expense settings.** Decide whether you'll track expenses by customer/job — if you ever want job costing, this must be on from the start. Turn on "Make expenses and items billable" if you pass materials through to customers.
4. **Users and permissions.** Settings Manage users. Add your CPA as an accountant user — it doesn't count against your user limit and it gives them their own view. Never share your login. Ever. Give office staff the least access that lets them do their job.
5. **Close the books going forward.** You'll set a closing date password in Chapter 11. For now, just know it exists.

Connecting the bank feeds

Bank feeds are the foundation everything else stands on, so connect them after the checklist above, not before.

1. Left navigation Accounting or Banking (the label shifts between versions) Link account.
2. Search your bank. Big banks connect with a secure token that lasts months; small banks and credit unions sometimes use credentials that need refreshing more often. Both are normal.
3. Choose which accounts to link: operating checking, business savings, business credit cards. **Business accounts only.** A personal account in the feed poisons every report downstream.
4. Pick the start date carefully. QBO will pull recent transactions — usually the last 90 days or so. Anything older, you'll enter manually or import. Decide your "books start here" date and tell your CPA. Everything before that date is a prior-period conversation, not a weekend project.
5. Do NOT categorize anything yet. Connecting the feed is the job today. Chapter 7 turns the feed into a system.

Connecting your other tools

QBO's real power is that your other tools talk to it. The usual suspects for a trades business:

- **Time tracking** (QuickBooks Time, formerly TSheets, or a third-party app): feeds hours into payroll and job costing.
- **Field service software** (Jobber, ServiceTitan, Housecall Pro, and similar): pushes invoices and payments into QBO so you're not typing them twice. Chapter 12 covers how these syncs break and how to fix them.
- **Payment processing:** QuickBooks Payments lets customers pay from the invoice by card or ACH. The rates are published in the app — compare ACH against card, because on a \$4,000 invoice the difference is real money.
- **Receipt forwarding:** every QBO company gets an email address for forwarding receipts (Chapter 6).

Connect one tool at a time, and run it for a week before adding the next. Two new integrations in one week means you won't know which one broke when something disagrees.

Prompt — audit my setup

"I'm a [YOUR TRADE] business using QuickBooks Online. I'm going to paste my current Company Settings and chart of accounts below. Ask me up to 10 questions about how I actually run jobs and money, one at a time, then tell me which settings are likely wrong for my trade and why. Flag anything I should verify with my CPA before changing."

Same-day actions

- Run the first-hour checklist above and screenshot your Company Settings for your CPA.
- Connect business bank accounts and business cards only; pick and write down your "books start here" date.
- Invite your CPA as an accountant user — never share your password.
- Connect exactly one other tool (time tracking first, usually) and schedule the next one a week out.

Chapter 2: Chart of Accounts Cleanup — the Skeleton of Every Report

Every report QBO will ever produce for you is just the chart of accounts wearing different clothes. If the skeleton is bent, every number limps. Trades businesses almost always inherit one of two skeletons: the generic template (useless) or fifteen years of accumulated accounts nobody dares touch (worse). Here's how to get a chart you can run a business on.

The shape of a trades chart of accounts

Keep it lean. A working trades chart usually has 60–100 active accounts, not 300. Group by what each account tells you:

Income (split by how you earn it, not by everything you ever sold):

- Service Income — labor and service calls
- Install / Project Income — contracted work
- Maintenance Plan Income — recurring agreements
- Materials Sold — pass-through or marked-up materials, if you want them visible separately

Cost of Goods Sold (what a job costs you directly):

- Job Materials
- Subcontractor Labor
- Direct Labor — field wages (if you run payroll through QBO and map it here)
- Equipment Rental — job-specific
- Permits and Fees — job-specific

Operating expenses (what the shop costs you whether or not a job is running):

- Fuel and Vehicle Repairs (consider splitting per truck later — not yet)
- Insurance (split liability, auto, workers' comp if helpful)
- Shop Rent / Storage
- Office and Software

- Marketing
- Telephone and Utilities

The cardinal rule: **if you won't make a decision from the number, don't give it its own account.** "Miscellaneous" is where decisions go to die — cap it, review it monthly, and re-home anything that shows up twice.

Cleanup rules that never hurt

- 1. Never delete history.** You can't delete an account with transactions anyway — QBO makes it inactive instead. Inactive is your friend: the history stays for reporting, the account disappears from daily lists.
- 2. Merge duplicates.** QBO merges accounts of the same type when you rename one to exactly match another's name — it will ask you to confirm, and the transactions follow. Merging is permanent. Do one, check a report, then continue.
- 3. Same type only.** You can only merge accounts of the same type and detail type. A "Fuel" expense can merge into "Vehicle Fuel"; it can't merge into a COGS account. If a duplicate sits in the wrong type, fix the type first (Settings Chart of accounts edit), then merge.
- 4. Kill subaccounts you don't read.** Parent/sub structure is powerful — Fuel under Vehicle makes the P&L tidy — but five levels deep is a filing cabinet nobody opens. Two levels is plenty for most shops.
- 5. Bank and card accounts must match reality.** One QBO bank account per real-world account. If the feed connects to "Checking ...4821," the QBO account should say exactly that.

Class and location tracking — the job-costing switch

Accounts tell you *what* you spent money on. Classes and locations tell you *where* — which crew, which division, which type of work. For trades, class tracking is usually where profit by job type comes from:

- **Settings Account and settings Advanced Categories.** Turn on "Track classes" and, if you have multiple shops or yards, "Track locations."
- Sensible classes for a trades business: Residential Service, Residential Install, Commercial, Maintenance Agreements. Or by crew: Crew A, Crew B. Pick ONE dimension for classes. Mixing "Commercial" and "Crew B" in one list muddies both.

- Projects (in the Customers/Projects area) handles profit per job on top of classes. Chapter 4 goes deep on this.

Turn this on early. Classes can't be applied retroactively without editing every transaction by hand — nobody does that, so the history just stays blank.

The AI assist for cleanup

AI is genuinely useful here — as an analyst, not an accountant. Export your chart of accounts (Reports search "Account List," or Settings Chart of accounts run report) and paste it into your AI assistant with this prompt. It will spot duplicates, mis-typed accounts, and dead weight faster than you will. You make every actual change in QBO yourself, one at a time.

Prompt — chart of accounts audit

"Below is the chart of accounts from my QuickBooks Online company. I run a [YOUR TRADE] business with [NUMBER] field techs. Review it like a bookkeeper: (1) list exact or near-duplicate accounts that are merge candidates, (2) flag accounts whose type looks wrong for their name, (3) flag accounts a trades business usually doesn't need, (4) suggest a leaner income/COGS split for my trade. Do not invent transactions. I will make each change myself in QuickBooks."

Same-day actions

- Print your Account List report. Cross out every account you haven't used in 12 months — those are inactivation candidates.
- Merge your obvious duplicates, one at a time, checking the P&L after each.
- Turn on class tracking (Advanced settings) with one clean dimension — work type or crew, not both.
- Send the whole list to your AI assistant with the audit prompt, then work its shortlist in QBO.

Chapter 3: Estimates and Invoicing That Get You Paid Faster

In the trades, the invoice is where profit goes to wait. The work is done, the crew's moved on, and the money sits in accounts receivable aging quietly while you make payroll out of the operating account. This chapter shortens the distance between "job done" and "money in."

Build your Products & Services list first

Invoicing speed is decided before you write the first invoice. Go to Settings Products and services and set up the items you actually sell:

- **Service items** for your standard labor: diagnostic fee, hourly labor (by crew tier if you bill that way), after-hours/emergency rate.
- **Non-inventory items** for materials you pass through, unless you stock real inventory — true inventory tracking (quantities on hand) only belongs in your life if someone actually counts the shelves. Most field-service shops are happier with non-inventory items and a weekly materials review.
- **Bundle items** for your standard packages: water heater swap, panel upgrade, spring tune-up. A bundle pre-loads the services and materials you always forget to add separately.

Turn on "Show Product/Service column" and "Show SKU/MPN if you use them" in Sales settings. Add your standard rates now, and review them quarterly — an item list with 2022 prices is a slow leak.

Estimates that turn into jobs

An estimate in QBO is not a quote scribbled on a card — it's the seed of the invoice, the job cost record, and half your paperwork, done once.

1. Create the estimate with the bundle items above. Line detail is your friend: customers approve faster when they can see what they're buying, and your tech invoices faster when the lines are already written.
2. Use estimate statuses religiously: Pending Accepted Closed. A weekly five-minute pass over "Pending" estimates older than 7 days is the cheapest sales follow-up system ever built.
3. Have the customer accept in the field when you can — QBO estimates can be emailed with an accept path, and accepted estimates convert to invoices in

one click.

4. When the job changes (it will), update the estimate and note the change order in the line detail or a \$0 "Change order approved [DATE]" line.

Future-you, answering a billing question in month three, will be grateful.

Progress invoicing for bigger work

For installs and projects, bill in stages instead of all at the end:

1. Create the full estimate for the whole job.
2. Invoice stage one (common pattern: deposit on signing, progress at rough-in or delivery, balance at completion — follow your state and contract rules for deposit limits; attorney verifies anything regulated).
3. Each progress invoice pulls its percentage or dollar amount from the estimate, so QBO always knows what's billed and what's left.
4. The final invoice reconciles the whole job. If the customer paid more in deposits than the final total (rare, but it happens on change orders that shrank), issue the credit or refund immediately and document it.

Deposit handling matters. Customer deposits are not income until you've earned them — they're a liability (money you owe work for). If your estimate-to-invoice flow books deposits straight to income, your P&L lies to you all month. Show your CPA your exact deposit workflow once and have them bless or fix it. This is one of the three most common trades bookkeeping errors, and the fix is a settings conversation, not a rebuild.

Getting paid without the phone calls

- Turn on **QuickBooks Payments** (Settings Payments) so every invoice carries a pay button. Card for convenience, ACH for big tickets — on large invoices, ACH fees are typically far lower than card fees; check the current rate card in your account.
- Set **automatic invoice reminders** (Settings Sales Reminders): a polite nudge before the due date, on the due date, and at set intervals after. QBO sends them; you never have to be the bad guy on the phone. Chapter 10 gives you AI-drafted wording for when you do have to call.
- Invoice from the truck. The job is done, the tech is standing there, the customer is happy — that's the moment of maximum willingness to pay. QBO's mobile app sends the invoice before the van door closes.



- Review **A/R aging weekly** (Reports Accounts Receivable Aging). Anything past terms gets touched that week: reminder, call, or a note explaining why it's fine. A/R never fixes itself.

Same-day actions

- Build or clean your Products & Services list; delete the items nobody sells anymore.
- Turn on invoice reminders with your exact schedule; write the wording in your voice, not the default robot's.
- Set up one bundle for your most common job and invoice your next job from it.
- Pull the A/R aging report and touch every past-due account this week.

Chapter 4: Job Costing and Projects — Knowing What a Job Actually Made

Ask a room of shop owners which jobs make them money and you'll get confident answers. Ask which jobs *lost* money last month and the room goes quiet. Job costing is how you stop guessing. QBO's Projects feature is the tool; this chapter is the workflow that makes it true.

Setting up Projects

1. Go to the Projects area (Business overview or the left nav, depending on version — Intuit moves it; search "Projects" if it's hiding).
2. Turn on Projects if prompted. Confirm your plan tier includes it — job costing is a mid-tier-and-up feature.
3. Set your preferences: track income, expenses, and time per project. If you run payroll through QBO, decide now whether field wages post into project costs (they should, or your job margins are fiction).

The per-job routine that makes it work

Job costing is 90% habit, 10% software. The habits:

- **One project per job.** Open the project when the estimate is accepted, named so a human can find it: "Martinez – water heater – 2026-10" beats "Project 118."
- **Materials go to the job.** Purchase orders, bills, and card charges for job materials get the project (and customer) attached at entry time — Chapter 2's expense settings make expenses billable/trackable; use them. A supply-house run covering three jobs gets split across three lines, one per job. It takes 60 extra seconds at entry and saves hours of archaeology later.
- **Time goes to the job.** Techs track time against the project (QuickBooks Time or QBO time entries — Chapter 9). Untracked labor is the #1 reason "profitable" companies feel broke.
- **Every invoice ties to the project.** Progress invoices from the estimate already do this if the estimate lives under the project.
- **Close the project when it's done.** Final invoice paid, costs all in, warranty notes in the record — then mark it complete. Open projects from six months ago are just guilt in a list.

Reading the result

The Project profitability view shows income minus costs. Read it with two filters:

- **Margin by job type.** Are service calls carrying the installs, or is it the other way around? Aggregate 10–20 similar jobs before believing the answer.
- **Estimate vs. actual.** Where did the estimate miss — labor hours, materials, or both? Feed the answer back into your estimate bundles (Chapter 3). This loop, run monthly, is worth more than any single feature in QBO.

What to do when the numbers are ugly

Every shop finds a beloved job type that loses money once it's costed. Before you cut it, check the three usual suspects: labor not tracked (timesheets incomplete), materials charged to the shop instead of the job, and deposits misbooked (Chapter 3). If it's still a loser with clean numbers — raise the price, tighten the scope, or retire the work. All three are better than subsidizing it quietly.

Same-day actions

- Open Projects for your three most recent completed jobs and attach their invoices and any material costs you can identify.
- Set the naming convention (Customer – Work – Month/Year) and tell the crew.
- Run one Project profitability report and compare it to what you *thought* that job made.
- Add "attach project at entry" to your purchasing routine — starting today, not retroactively.

Chapter 5: Receipts and Expenses Without the Shoebox

The glovebox shoebox is the trades' oldest accounting system, and it fails the same way every time: faded thermal paper, missing receipts for the three purchases the IRS will ask about, and an hour of squinting at tax time. QBO's receipt capture kills the shoebox — but only if the habit starts in the truck, not at the desk.

The three ways a receipt gets in

- 1. Snap it in the app.** QBO mobile app Receipt snap (menu names shift; look for Receipts). Photograph the receipt before you leave the supply house counter. QBO's OCR reads the vendor, date, and amount, and drafts the transaction for you to review. Ten seconds, done forever.
- 2. Email it in.** Your QBO company has a unique receipts email address (Receipts tab "Email receipts" or Settings). Set up: each authorized user's email gets registered to forward. Supply-house emailed invoice? Forward it. Fuel receipt from a gas app? Forward it. Create a phone contact named "QBO Receipts" with that address so it's two taps.
- 3. Drag and drop at the desk.** Receipts center in QBO accepts PDFs and images in bulk for whatever slipped through.

Review, don't just collect

The Receipts tab (Accounting/Expenses area, version-dependent) holds matches waiting for review. The weekly routine:

- 1.** Match suggested transactions to the bank feed entries. A snapped receipt matched to a feed charge is a fully documented expense — receipt, amount, vendor, job.
- 2.** Attach the project/job to every material purchase (Chapter 4's rule: at entry time, not month-end).
- 3.** Fix OCR mistakes now. QBO's reading is good, not perfect — a transposed digit in March is a mystery in December.
- 4.** For receipts with no matching transaction (paid cash, personal card — it happens), create the expense and note the payment method. Tell your CPA how often this happens; good shops drive it toward never.



Mileage

If anyone drives a personal vehicle for work, turn on mileage tracking in the app (it can auto-track trips with the phone's location, which you then classify business/personal with a swipe). The IRS mileage rate changes year to year — QBO applies the current standard rate; confirm it with your CPA each January. Personal-vehicle mileage is a deduction with real documentation requirements — CPA verifies your exact situation once, then the app does the logging forever.

Credit card discipline

Business cards in the feed (Chapter 1) make every card charge visible automatically. Two rules keep them clean: the card is for business only — no exceptions, not even "I'll pay it back" — and charges get project tags the same week they post. A card charge you have to identify a month later takes ten times as long as one you tag today.

Same-day actions

- Find your QBO receipts email address and save it as a phone contact for yourself and every tech who buys materials.
- Snap every receipt currently in the truck cab. Throw the paper away only after you see the match in QBO.
- Turn on mileage tracking for anyone driving a personal vehicle to jobs.
- Put "Receipts tab review" on the weekly bookkeeping block (Chapter 11 gives you the full checklist).

Chapter 6: Bank Feeds and Rules — Where the Weekly Hour Is Won or Lost

This is the engine room. Everything so far — accounts, projects, receipts — feeds into the bank feed, and the bank feed is where businesses either spend one calm hour a week or lose a weekend every quarter. Rules are the difference.

How the feed actually works

Your bank pushes transactions into QBO's Banking center. They arrive in the **For review** tab. Nothing touches your books until you categorize it (assign account, project, class) and add it — or match it to something already in QBO (an invoice payment, a bill, a receipt). That "for review" gate is your quality control. Guard it.

Three tabs, three meanings:

- **For review:** new arrivals. Your work queue.
- **Categorized:** accepted into the books, awaiting the bank statement check.
- **Excluded:** things you deliberately threw out (duplicates, personal charges that slipped onto the wrong card). Excluded transactions can be restored if you threw wrong.

The weekly 30-minute feed routine

1. **Match first.** QBO suggests matches (receipt from Chapter 5, invoice payments, bills). Approve the obvious matches in bulk.
2. **Categorize the regulars.** Fuel, supply house, insurance, software subscriptions — these should be one click each thanks to rules (next section).
3. **Hand-touch the oddballs.** New vendors, big amounts, anything you don't recognize. Unrecognized means it doesn't get categorized until you know what it is — "ask the tech" is a legitimate step, and a group text with the date and amount solves most of them.
4. **Split the mixed ones.** One supply-house charge covering two jobs = two lines, two projects (Chapter 4). One card charge that's half materials, half shop supplies = two lines.
5. **Leave zero in For review.** Not "most." Zero. A small backlog compounds at interest.

Rules: teach QBO your habits

Bank rules (Banking center Rules) auto-categorize recurring transactions. Build them deliberately:

- **Start suggest-only.** QBO can suggest rules from your past categorizations. For your first month, create rules that *suggest* rather than *auto-add*. Review each suggestion until the rule earns your trust.
- **Conditions on solid ground.** "Description contains 'SHELL'" or "amount equals my insurance premium" is solid. "Vendor contains 'DEPOT'" plus a project assignment is a mistake — the same supply house serves every job. Rules set account and class; project stays manual unless the vendor truly serves one job.
- **Auto-add only the boringest money.** Rent, insurance, loan payments, software bills — same amount, same vendor, same account, every month. Those can auto-add after a month of correct suggestions. Everything customer- or job-related stays human-reviewed.
- **Audit rules monthly.** A rule that miscategorizes doesn't make one error — it makes the same error forever until someone checks. Chapter 11 puts this on the month-end list.

The failure mode to avoid: turning on every suggested rule the first week. You'll spend a Saturday un-categorizing three months of confident wrongness. Rules are a ratchet — earn each click.

Undeposited funds — the account that confuses everyone

When you record a customer payment against an invoice, QBO often parks it in **Undeposited Funds** — a holding account meaning "checks and cash on the desk, not yet at the bank." When you make the real deposit, create a Bank Deposit in QBO and select those payments. Skip this step and your books show money in the bank twice (once as undeposited, once when the feed shows the deposit) — and your "income" is inflated by exactly the amount you deposited twice.

The telltale: Undeposited Funds balance grows and never empties. The fix: make deposits in QBO the same day you make them at the bank, grouping payments exactly like the real deposit slip. Then the feed deposit matches in one click.



Transfers and owner money

- **Transfers between your own business accounts** get categorized as transfers, not income/expense. QBO usually suggests this when the amounts match across accounts.
- **Owner draws and contributions** are not business income or expenses. They go to Owner's Equity accounts (Draws/Contributions — your CPA names these for your entity type). Booking an owner draw as an expense understates profit and creates a tax conversation you don't want. CPA verifies your equity structure once.

Same-day actions

- Run the For review tab to zero using the routine above; note how long it actually took.
- Verify your Undeposited Funds balance is truly undeposited money; clean it up with matching Bank Deposits if it isn't.
- Create or tighten your first five rules in suggest-only mode (fuel, insurance, rent, software, loan payment).
- Check that owner money movement is hitting equity accounts, not expenses.

Chapter 7: Payroll and Crew Costs — the Handoff That Has to Be Clean

Payroll is where the books, the crew, and the government all meet, and it's the area where "I'll fix it later" goes to become a penalty notice. Whether you run QuickBooks Payroll or an outside service, the handoff into your books has to be clean, consistent, and boring.

Time first — everything starts with hours

Payroll errors are born in timesheets, not tax tables.

- Techs track time in QuickBooks Time (or QBO's time features, or your field service app if it feeds clean data — pick ONE source of truth for hours).
- Hours go against projects/jobs (Chapter 4). If the time system doesn't know jobs, payroll knows hours but your job costing doesn't — half the value, gone.
- Approve time before every payroll run. Unapproved time that "we'll catch next week" becomes a correction copy pasted over a mystery.
- Overtime, travel time, on-call: whatever your policies and your state's rules require. This is wage-and-hour law, not bookkeeping preference — attorney or CPA verifies your policies once, in writing.

The payroll posting itself

If you run QuickBooks Payroll, the postings mostly wire themselves: gross wages split per your settings, employer taxes, benefits, garnishments, net pay, and the tax payments. Two settings deserve your attention:

- **Map wages to the right accounts.** Direct field labor to COGS–Direct Labor (Chapter 2's chart) if you job-cost; office salaries to operating expense. One lump "Payroll Expenses" account hides the single most important number in a trades P&L.
- **Job-cost the labor burden.** Wages alone aren't the job's labor cost — add the loaded rate your CPA helps you compute (wages + employer taxes + workers' comp + benefits). A job that "made money" on wages alone and lost it on burden is a pricing lesson, not a bookkeeping error.

If you use an outside payroll service, the handoff is one journal entry or split transaction per payroll: gross wages by category, employee taxes withheld, employer taxes, net pay out of the bank. **Consistent template, every run, no**



improvisation. Create a memorized template in QBO so the entry is the same shape every two weeks.

Workers' comp and certified payroll — flag for professionals

Workers' comp audits and certified payroll (prevailing-wage work) both reach into your payroll records and both punish sloppy job coding. If you do any public or prevailing-wage work, that's specialist territory — CPA and your comp agent set up the codes; QBO just records what they define. Attorney/CPA verifies before your first such job, not after your first audit.

Quarterly and year-end rhythm

- Quarterly payroll filings (941s, state equivalents) come out of the payroll system — someone should confirm they were filed, not assume. Put confirmations on the calendar.
- W-2s and **1099-NEC for subcontractors** in January. The subs' 1099s come from your QBO vendor records, which is why Chapter 8's vendor discipline matters all year.
- Never pay "a guy" off the books to save hassle. It isn't savings; it's a debt with unknown terms.

Same-day actions

- Confirm one source of truth for hours and that techs select jobs/projects on every entry.
- Check your payroll settings: field labor maps to COGS, office labor to overhead.
- Build (or ask your CPA to build) your loaded labor rate and use it in estimates.
- Calendar your quarterly filing confirmations and January W-2/1099 prep dates now.

Chapter 8: Vendors, Bills, and Subcontractors — Paying People Without the Panic

Money out is half your business. A trades shop that pays late loses supply-house credit and good subs; one that pays sloppy loses money to duplicate bills, missed discounts, and January 1099 scrambles. The system is simple: every bill in, every payment matched, every vendor record complete.

The vendor record is a tax document

Before a vendor or sub gets their first dollar, their QBO vendor record needs:

- Legal name and business address (as on their W-9, not as on their truck door).
- Tax ID — collect the **W-9 before the first payment**, not in January. No W-9, no check, is the only policy that works. It feels awkward exactly once; the January scramble feels awful every year.
- "Track payments for 1099" checkbox set for any unincorporated service provider you pay \$600+ in a year (the threshold and rules change; CPA verifies the current ones each fall).
- Default expense account and terms, so bills enter fast and consistently.

Bills: enter on arrival, pay on schedule

1. Enter bills when they arrive (or let the supply house email them into your receipts flow and create the bill from the document).
2. Attach the project for job materials — Chapter 4's rule again. A bill entered without its job is a job-costing hole.
3. Pay on a rhythm — most shops pick one or two days a week. QBO's Bill Pay (or your bank's) draws from the right account and records the payment against the bill automatically. Writing checks one at a time as bills annoy you is how duplicates happen.
4. Take early-pay discounts when your cash position allows — 2/10 net 30 is an excellent return on money that would otherwise sit idle. QBO shows you the discount if you enter terms correctly.

Subcontractor discipline

- Every sub, every job: a bill or expense tied to the project, coded to COGS–Subcontractor Labor. Your per-job margin (Chapter 4) depends on it.
- Certificates of insurance on file and current — track expirations however works (a QBO attachment plus a calendar reminder is fine). A lapsed COI discovered after an incident is a catastrophe, not a paperwork problem.
- Written scope before work. Not bookkeeping, exactly — but the bill you approve should match paper both sides signed.

Same-day actions

- Pull the vendor list and mark every active sub missing a W-9. Collect them before their next payment.
- Set the "track for 1099" flag on every service vendor you pay.
- Move bill-paying to one or two fixed days per week; enter bills on arrival from here on.
- Set calendar reminders for every sub's insurance expiration date.

Chapter 9: Reporting — the 30-Minute Monthly Review

Reports are the whole point of everything in the previous eight chapters. Clean input buys you this: a half-hour a month where you actually run the business instead of remembering it. Here's the review, in the order that matters, all from Reports in QBO (standard reports — customize and memorize the ones below so they run in one click).

The five numbers, in order

1. **Profit & Loss (this month vs. same month last year).** Not the total — the lines. Income by type (Chapter 2's split) tells you what's growing. COGS as a percentage of income tells you whether jobs are priced right. Gross margin drifting down three months straight is a pricing or labor problem announcing itself early.
2. **Accounts receivable aging.** Who owes you, how long, what's the plan. (Chapter 3 set up the weekly touch; this is the monthly verdict.)
3. **Accounts payable aging.** Who you owe and when. No surprises is the whole goal.
4. **Cash position and Statement of Cash Flows.** Profit is an opinion; cash is a fact. The cash-flow statement shows where the money actually went — owners are forever surprised that a "profitable" month bought a truck and a quarter's insurance.
5. **Project profitability summary.** Job types ranked by true margin (Chapter 4). One page that should steer your marketing and your pricing.

Scheduled reports — set it and actually get it

In QBO, open any customized report Save customization set it to email to you on a schedule (weekly for A/R, monthly for the full packet). Also email the packet to your CPA monthly — a CPA who sees your books twelve times a year is cheaper than one who sees a disaster once.

Reports for decisions, not the drawer

- **Pricing review (quarterly):** P&L by class/job type + project margins. Raise prices where demand is strong and margins thin — in trades, you're usually underpriced, not over.

- **Customer profitability:** QBO's income by customer shows who your best customers are. Sometimes your biggest customer is your least profitable. Now you know.
- **Tax time (set up once with your CPA):** the exact report set they want, memorized, so January is a button, not an excavation. CPA defines this list — it differs by entity and state.

The AI assist — reading, not recording

AI is a sharp junior analyst: it reads the packet faster than you and points at the odd lines. It never posts anything. Export the five reports above (PDF or spreadsheet from QBO) and ask:

Prompt — monthly numbers review

"Below are this month's QuickBooks reports for my [YOUR TRADE] business: P&L with prior-year comparison, A/R aging, A/P aging, cash-flow statement, and project profitability. Analyze like my bookkeeper: (1) flag any line that moved more than 15% versus the same month last year and suggest the first place to look, (2) name the three oldest receivables and draft my next collection step for each, (3) summarize job-type margins from best to worst. Point out anything that looks like a bookkeeping error versus a real business problem. I will verify every claim in QuickBooks before acting."

Then verify every claim in QBO. AI hallucinating a number is rare but real; the books are the books.

Same-day actions

- Customize and memorize the five core reports; schedule them to your inbox.
- Run this month's review now, even mid-month, and time it. Thirty minutes is the target.
- Send the packet to your CPA and ask: "What else do you want monthly?"
- Put the review on the calendar as a recurring appointment with yourself — same day, same time, monthly.

Chapter 10: The Month-End Close — 90 Minutes to Books You Can Trust

The month-end close is the ceremony that turns "data in QuickBooks" into "books you can make decisions on." It's not accounting for its own sake — skip it and every report in Chapter 9 slowly becomes fiction. Ninety minutes, same day every month, checklist below. Print it.

Before you start

- **Announce the cutoff.** After close day, nobody backdates anything into the closed month. Changes after close get entered in the current month with a note, or wait for the CPA. Consistency beats perfection.

The close checklist

1. **Bank feed to zero.** Every account's For review tab empty (Chapter 6's routine, one final pass).
2. **Receipts matched.** Receipts tab reviewed; every snapped receipt matched or converted, none orphaned.
3. **Bank reconciliation.** Banking Reconcile for every bank and card account, against the actual statement. The QBO balance must equal the statement balance at month-end. Difference = find it now, not at year-end. This is the single most valuable 15 minutes in the whole close — reconciliation is the proof the books match the bank's version of reality.
4. **Undeposited Funds emptied.** Every real deposit recorded; the account holds only money genuinely not yet deposited (Chapter 6).
5. **A/R sweep.** All work invoiced; progress invoices sent for active jobs; A/R aging reviewed; bad debts flagged for your CPA (writing off is their call, documenting is yours).
6. **A/P sweep.** All bills entered, including the ones in the truck and the email inbox. Accrual shops: unbilled job costs noted. If you don't know whether you're cash or accrual for management purposes, ask your CPA once and write it on this checklist.
7. **Payroll posted.** Final payroll of the month in the books with the standard template (Chapter 7); tax payments recorded.

- 8. Loans and cards checked.** Loan balances agree with statements (split principal/interest right — your CPA gives you the amortization entries or the penny rule you use between their entries).
- 9. Rules audit.** Scan this month's auto-categorized transactions for rule mistakes (Chapter 6). Fix the transaction, fix or tighten the rule.
- 10. Odd-thing scan.** Read the P&L top to bottom. Anything you can't explain in one sentence gets investigated or flagged to the CPA. "Miscellaneous" reviewed and emptied into real accounts.
- 11. Reports packet run and saved.** The Chapter 9 five, saved as this month's packet (PDFs in a folder named by month). Future-you comparing quarters will say thanks.
- 12. Close the month.** Settings Account and settings Advanced Close the books: set the closing date to month-end with a password. This is the lock that stops quiet backdating. Share the password with your CPA, nobody else.
- 13. Send the CPA packet.** Reports + your odd-thing notes + anything you flagged. Monthly contact means no December ambush.

When the reconciliation won't balance

Do not force it, and never post a plug to "make it work." Work backwards: sort by amount and hunt for the difference or half the difference (a reversed transaction), check for duplicates from the feed, look for a transaction edited after last month's close. If an hour passes without finding it, stop and hand it to your bookkeeper or CPA with your notes. A documented mystery is a small bill; a forced balance is a rotten foundation.

Same-day actions

- Schedule your close day (business day 3–5 of each month works for most shops) and calendar it recurring.
- Run this checklist on last month right now as a dress rehearsal; note what took longest.
- Set your closing-date password and give it to your CPA.
- Create the monthly packets folder (cloud drive is fine) and file this month's reports.

Chapter 11: Common Sync Errors, Bank Feed Breaks, and Their Fixes

Integrations don't fail politely — they fail at 4 PM on a Friday, on the invoice you need Monday. This chapter is the field guide: what breaks, what it looks like, and the order to fix it in. Rule zero for everything below: **never fix a sync problem by deleting things until you know which side is right**. Deleting the wrong copy is how duplicates become holes.

Bank feed errors (the most common break of all)

Symptoms: an account stops updating, shows a connection error, or nags you to reconnect.

1. Note the error code QBO gives you. Intuit's codes (the 100-series are connection/login issues; 9999 is a general sync error) each have a known fix path in Intuit's help — search the exact code, because the fix for "your bank changed its site" is different from "your bank wants fresh MFA."
2. Update credentials / reconnect from the Banking center's account card (the pencil/Edit Update). Do NOT disconnect and re-link unless reconnect fails — disconnecting orphans the history and invites duplicates.
3. If the bank requires you to re-authorize on their site (common with big banks), do that first, then Update in QBO.
4. Small banks and credit unions go down for maintenance on weekends. If the error started Saturday, check the bank's status page before dismantling anything. More feed "outages" are bank maintenance than QuickBooks failure.
5. After any reconnection, watch the first download like a hawk: feeds love to re-send recent transactions. Matches should catch most; duplicates that slip through get Excluded with a note, not deleted (deleting feed transactions can break the audit trail; excluding keeps the record).

Amount mismatches and duplicates usually trace to one of three things: someone entered a transaction manually that the feed also delivered (match them, don't delete), a rule auto-added wrong (fix rule, Chapter 6), or a deposit recorded at a different total than the real one (the deposit must equal the bank's total — regroup it, Chapter 6's Undeposited Funds routine).

Field-service app syncs (Jobber, ServiceTitan, Housecall Pro, and similar)

These apps typically push invoices, payments, and sometimes expenses into QBO. The classic failures:

- **Invoice pushed twice** (someone edited in both systems): void the QBO copy if the app is the source of truth for that invoice; do NOT edit the QBO copy by hand afterward — edit in the app and let it push.
- **Payments not matching invoices**: the app records the payment; QBO wants it against the invoice. Receive/match in QBO (Chapter 6's match-first step) — never record a second manual payment.
- **Item mapping breaks**: the app creates invoice line items that don't exist in QBO's Products & Services, so syncs stall or spawn garbage items ("Jobber item 4471"). Fix the mapping table in the app's integration settings; rename items to match QBO exactly (Chapter 3 — this is why the item list matters).
- **Tax mismatches**: app tax rates vs QBO tax setup disagree by tenths of a percent and invoices land off by pennies. One source of truth for tax rates (usually QBO + your CPA's setup); the app feeds it, not invents it. CPA verifies tax setup — sales-tax rules are state-specific and unforgiving.

Decide, in writing, which system is the source of truth for what: usually the field app owns the customer-facing invoice, QBO owns the money. Every sync problem gets easier the day that sentence exists.

App and browser weirdness

- **Report looks wrong but the data's fine**: clear the browser cache or try the QBO app/incognito window before you "fix" your books. Display bugs have caused more panic edits than real bugs have.
- **"You can't edit a closed period"**: that's the closing-date lock working (Chapter 10). Either the transaction belongs in the current month, or your CPA unlocks it with the password and a reason. Both are features.
- **Multi-user collisions**: two people editing the same invoice. QBO warns; listen to it. Whoever saved second re-does their work — cheaper than untangling merged edits.
- **Slow performance with big attachments**: receipt archives grow. Annual purge of non-essential attachments (keep tax-relevant documents per your CPA's retention guidance — typically years, not months) keeps the file



snappy.

Using AI as your triage nurse

When something looks wrong, describe the symptom to your AI assistant before you start clicking. Screenshot-with-numbers-redacted works too (never share account numbers, full EINs, or passwords — with AI or anyone).

Prompt — sick books triage

"You're my QuickBooks Online troubleshooter. My symptom: [DESCRIBE WHAT'S WRONG, e.g., 'my checking account balance in QuickBooks is \$3,240 higher than the bank and the gap appeared this month']. Ask me up to 5 questions to narrow the cause, then give me a fix sequence in order, most likely cause first. Warn me before any step that deletes or voids anything. All money movement I verify in QuickBooks myself."

Same-day actions

- Write your source-of-truth sentence (which system owns invoices, which owns money) and put it where the office can see it.
- Reconnect any bank feed currently showing an error; watch the first download for duplicates.
- Check one app integration's mapping table against your QBO Products & Services list.
- Save the triage prompt where your team can find it before the next Friday 4 PM.

Chapter 12: AI-Assisted Workflows — the Assistant on Your Shoulder

Everything so far built clean books. This chapter puts a second pair of eyes on them. The model that works: **QBO records; AI reads, drafts, and flags; you decide and post.** AI never gets your login, never touches a bank feed, never files anything. Within those rails, it's the cheapest bookkeeping help you've ever had.

A quick note on what "AI" means here: two things. QuickBooks has its own built-in AI features (receipt reading, categorization suggestions, and Intuit's newer assistant features — these improve quietly and live inside your account). Separately, a general AI chat assistant (the kind you open in a browser tab) reads what you paste into it and drafts back. This chapter uses both. Verify any product feature I name against your current QBO account — Intuit ships and renames features constantly.

Workflow 1: Categorization drafting

Export a week of uncategorized bank transactions (Banking center export, or copy the list). Paste into your AI assistant:

Prompt — categorize my week

"Below are uncategorized transactions from my [YOUR TRADE] business. For each, suggest the most likely QuickBooks account from a trades chart of accounts and explain in under 10 words why. Mark anything you're unsure about as FLAG. Never assign tax decisions — if something could be tax-sensitive, flag it for my CPA instead of guessing."

Review the suggestions against the books, enter the good ones, and turn the repeatable ones into rules (Chapter 6). You're training your future rules with AI as the first pass.

Workflow 2: Dunning drafts that sound like you

For the overdue-but-likable customer — the AI drafts, you read, you send:



Prompt — polite collection note

"Write a friendly second-reminder email for invoice [NUMBER], \$[AMOUNT], now [DAYS] days past due, from [YOUR NAME] at [YOUR COMPANY]. We've done good work for this customer before and want to keep them. Short, warm, zero guilt — include the total, the original service date, and that they can pay from the invoice link. Give me two versions: gentle and firm."

Workflow 3: Estimate language that sells the job

Your techs know the work; the estimate should say it like a person who does:

Prompt — customer-friendly scope

"Rewrite these estimate line items for a homeowner customer with no trade knowledge. Keep every technical fact and the exact quantities; replace jargon with plain words that explain what we do and why it matters to them. Price stays as-is. [PASTE LINE ITEMS]"

Workflow 4: Meeting your books monthly

Chapter 9's review prompt, on repeat. Same export, same questions, twelve times a year. Consistency is what makes the AI useful — it learns your shop's shape from your corrections.

Workflow 5: Policy and procedure drafts

"AI, draft a one-page receipt policy for my crew: what to snap, when, how to name it, what happens if they lose one." You edit, you post it in the shop. This playbook can't clone you into the truck cab; a written policy comes close.

Safety rails — non-negotiable

- **Never paste** full bank account numbers, card numbers, EINs, employee SSNs, or passwords into any AI tool. Remove them before pasting; totals and descriptions are all the AI needs.
- **AI doesn't file, submit, or pay anything.** Not taxes, not payroll, not bills. It drafts. You verify. You click.
- **AI numbers get verified in QBO.** The books are the books (Chapter 9).



- **Tax and legal answers come from your CPA and attorney.** AI can explain a form's purpose; only your professionals know your filing position.

Same-day actions

- Run Workflow 1 on this week's uncategorized transactions; build one new bank rule from what you approve.
- Save the five prompts from this chapter where your bookkeeping actually happens.
- Paste your Schedule C or entity tax categories (ask your CPA which applies) into your prompt cheat sheet so categorization suggestions respect them.

Chapter 13: Your 30/60/90 Plan and the Prompt Quick-Reference

You've got the system. Now you need a runway. Here's the rollout, sized for a working shop that can't stop to "do accounting" for a month.

Days 1–30: Foundation

- Chapter 1: setup audit, bank feeds connected, CPA invited.
- Chapter 2: chart of accounts cleaned, class tracking on.
- Chapter 3: products & services list fixed, invoice reminders live.
- Chapter 4: naming convention set; the last three jobs costed as practice.
- Weekly: one 30-minute feed session (Chapter 6). Zero in For review.

Day-30 checkpoint: Can you run a P&L you trust? If a line makes you say "that can't be right," fix the input, not the report.

Days 31–60: Rhythm

- Chapter 5: receipt habit live across the crew; mileage tracking on.
- Chapter 6: first five rules earning their keep, suggest-only graduating to auto-add for the boring ones.
- Chapter 7: labor mapped right; loaded labor rate computed and in your estimates.
- Chapter 8: W-9s collected; bill-pay days fixed.
- Chapter 10: first full month-end close, on the calendar, password set.

Day-60 checkpoint: Month-end close done in under 2 hours, receipts tab reviewed weekly, Undeposited Funds honest.

Days 61–90: Leverage

- Chapter 9: the 30-minute monthly review happens, packet to the CPA.
- Chapter 4 (again, deeper): pricing decisions from real job margins — raise, tighten, or retire one job type.
- Chapter 11: source-of-truth sentence written; integrations audited.
- Chapter 12: AI workflows 1, 2, and 4 in your normal routine.

Day-90 checkpoint: You can answer "which work makes us money, who's slow to pay us, and what's our cash position" from reports, in minutes, without calling anyone. That's the whole game.

Before you buy anything — the tools in this playbook

This playbook names tools so you can run the system: QuickBooks Online (Intuit), QuickBooks Payments and QuickBooks Time (Intuit), field service apps such as Jobber, ServiceTitan, or Housecall Pro, and a general AI chat assistant of your choice. Some buying notes, honestly:

- Buy QuickBooks Online from Intuit (intuit.com) or through your CPA — a rule for every tool in this book: whoever you buy it from, get the account in your business's name and email, with your own admin login. Never let a bookkeeper or vendor "own" your company file.
- Plan names, features, and pricing for every tool named here change without notice. Verify current tiers and prices on the maker's site before you purchase or upgrade — don't buy from any number printed in any book, including this one.
- Field service and time-tracking apps mostly integrate the same way (Chapter 11); choose on crew fit and price, not on which one a book recommends.

Disclosure: SkillForge AI may, from time to time, use affiliate or referral links on its own website for software mentioned in our playbooks. If we do, it's disclosed on the page where the link appears, and it never raises the price you pay. Inside this book there are no affiliate links — we named the tools because the system needs them, not because anyone pays us to.

Prompt quick-reference (copy-paste)

All eight prompts live in the chapters; here's the index so you can find them fast:

- Setup audit — Chapter 1
- Chart of accounts audit — Chapter 2
- Monthly numbers review — Chapter 9
- Sick-books triage (sync/feed errors) — Chapter 11
- Categorize my week — Chapter 12
- Polite collection note — Chapter 12



- Customer-friendly estimate scope — Chapter 12
- Receipt policy draft — Chapter 12

Personalize them once — your trade, your crew size, your entity — and save your versions. A prompt that's already filled in is a prompt that gets used.

Thank you

That's the system: connected right, categorized right, costed honestly, closed monthly, and reviewed with a clear head and a sharp assistant.

If this playbook saved you one weekend of bank-feed archaeology, it did its job. If it saved you from one job that was quietly losing money — it paid for itself many times over.

Thank you for your business, and for trusting SkillForge AI with a piece of how your business runs. We build these playbooks for owners doing real work, and we're glad one of them landed with you.

Now go run your numbers like you run your jobs: measured, honest, and on schedule.

— Bill Morton, SkillForge AI